Price touches down at B and bounces to C. The BC bounce looks proportional to the AB drop, which is important. I understand that it's hard to quantify what *proportional* means, but it's like pornography. You know it when you see it. In other words, the BC retrace isn't too small or too large for the downtrend (okay, maybe it's a bit small).

Leg one is in place: AB. The corrective phase is there, too: BC. After peak C completes, the stock starts heading lower in the second leg, just as it should in well-behaved measured moves.

But the drop only makes it down to D before the stock turns and climbs above the top of the corrective phase, C, suggesting the pattern is a failure.

If leg two is supposed to be as long as leg one, this pattern falls well short. The AB drop measures $5.48. The CD drop is $1.11 and well short of the AB move.

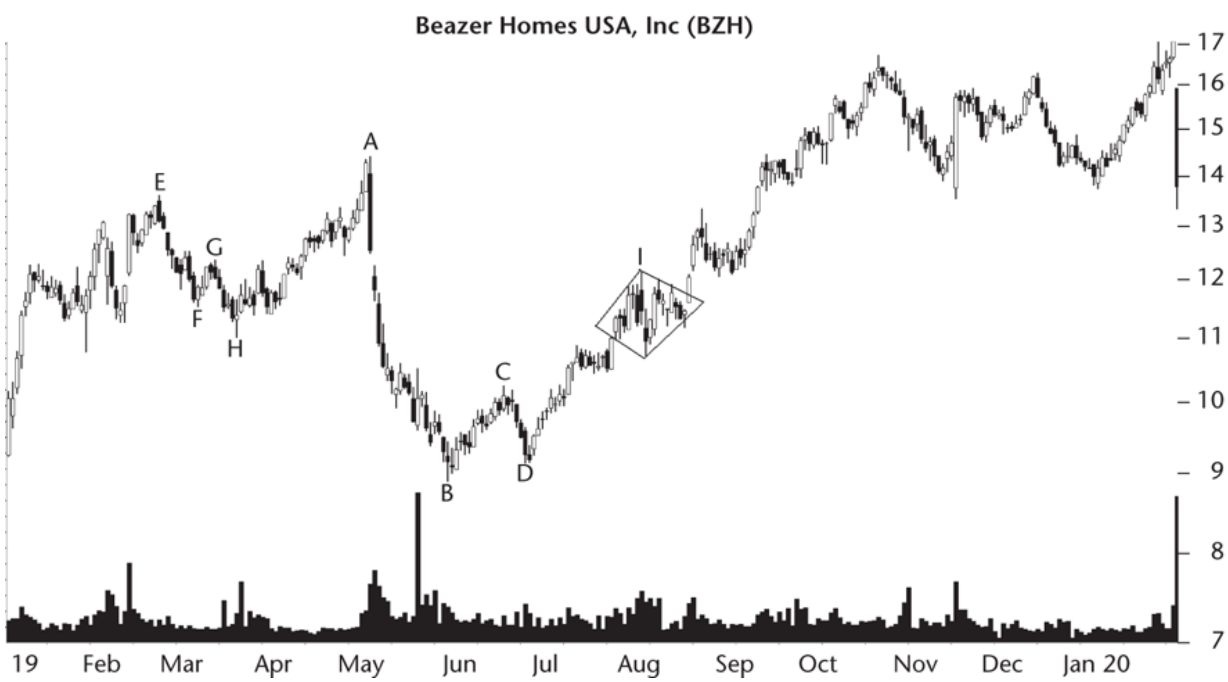

Figure 46.3 This potential measured move down fails to see price drop in the second leg.

What went wrong?

Let's back up to point A. The big spike down at A is the result of second-quarter results reported by the company after the market closed the day before. Investors in the stock didn't like the news, and down the stock went.